ABC News (analysis by Daniel Ziffer), 26 Oct 2026
News summary · 27 October 2026

# Falling real wages, bank job cuts and a shaky AI boom

> An ABC analysis argues that 2027 looks shaky for workers and investors because of three pressures: wage rises below inflation, a likely rate rise, and a debt-heavy AI infrastructure boom that may not last. This is an opinion piece, so treat it as one view.

## WHAT HAPPENED

- With inflation running at about 4%, many wage offers now mean **real pay cuts**. RBA staff themselves rejected an offer of 3.7% followed by 3% and 2.8%.
- **NAB plans to cut 2,500 jobs**, most by Christmas, citing "rapid technological change".
- Data-centre company **NEXTDC lost about $3b** of market value in a week after residents protested a Melbourne project. It now expects revenue to fall by a third.
- The RBA expects underlying inflation to stay **above 3% until mid-2027**, so pressure on real wages may continue.

**Real wage:** the nominal wage adjusted for inflation, roughly wage growth minus inflation

**Structural unemployment:** joblessness caused by a mismatch of skills as technology and industries change

## KEY NUMBERS

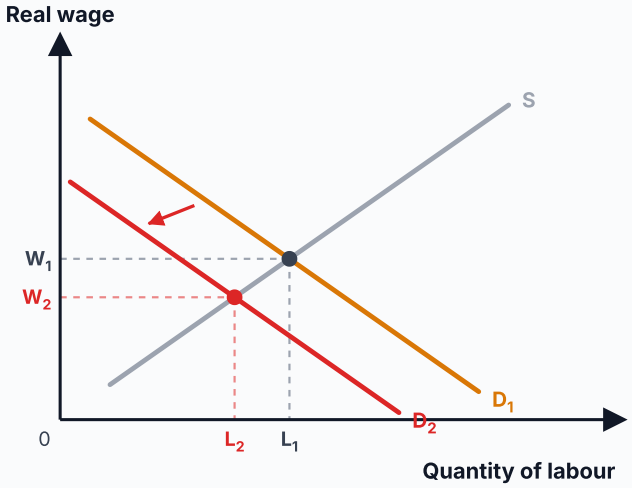
**~4%**
approximate annual inflation

**3.7%**
first-year wage offer to RBA staff

**2,500**
NAB job cuts planned

**~$3b**
NEXTDC value lost in a week

## DIAGRAM — Technology lowers demand for some kinds of labour




If firms can replace some tasks with technology, **demand for that labour shifts left from $D_1$ to $D_2$.**

The real wage falls from **$W_1$ to $W_2$** and employment falls from **$L_1$ to $L_2$**. Workers whose skills don't match the new jobs may face **structural unemployment**.

**Exam angle:** real wage ≈ wage growth – inflation. A 3% pay rise with 4% inflation is about a **1% real wage cut**. New technology can raise productivity and living standards over the long run, while causing structural unemployment in the short run.

## SYLLABUS LINK

Topic 3 – unemployment (types, especially structural); real vs nominal wages; the effects of technological change on the labour market and income distribution.

## TRY THIS

1. Calculate the real wage change for a worker who gets a 3% pay rise when inflation is 4%, and explain what it means for their living standards. **(3 marks)**
2. Is job loss caused by AI an example of structural or cyclical unemployment? Justify your answer. **(4 marks)**

**Sources:**
1. ABC News – In 2027 ordinary workers and investors may be left in a downward spiral – https://www.abc.net.au/news/2026-10-26/economic-outlook-for-2027-feels-shaky/107299778



Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.